IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

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C.A. (CAA) No. 61/BB/2017
Under Section 230 to 232 of the Companies Act, 2013
Order delivered on: **3rd November 2017**

IN THE MATTER OF
SCHEME OF AMALGAMATION
OF
FLIPKART LOGISTICS PRIVATE LIMITED
AND
DSYN TECHNOLOGIES PRIVATE LIMITED
AND
ADIQUITY TECHNOLOGIES PRIVATE LIMITED
WITH
M/S INSTAKART SERVICES PRIVATE LIMITD

M/s Flipkart Logistics Private Limited,
Brigade Manae Court, First Floor, No.111,
Industrial Layout, Koramangala,
Bengaluru-560095. - **1st Applicant / Transferor Company No.1**

M/s Adiquity Technologies Private Limited,
Brigade Manae Court, First Floor, No.111,
Industrial Layout, Koramangala,
Bengaluru-560095. - **2nd Applicant/Transferor Company No.3**

M/s Instakart Services Private Limited,
Brigade Manae Court, First Floor, No.111,
Industrial Layout, Koramangala,
Bengaluru-560095. - **3rd Applicant /Transferee Company**

Coram: Hon'ble Shri RatakondaMurali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Applicant : Mr. Mukesh Yadav, Advocate
LEXport, Advocates & Legal Consultants
516, 10A Cross, 29th Main,
Sector-1, HSR Layout, Bangalore-560 102
Advocate for the Applicant Companies

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)** – Author

Member (Judicial)

Member (Technical)

Correction carried out by the Bench Order dated 11.12.2017

O R D E R

This is a Joint Company Application filed on behalf of the Applicant Companies i.e. 1st Applicant/Transferor Company No.1, 2r.d Applicant/Transferor Company No.2 and 3rd Applicant No.1/Transferee Company, praying to order for dispensing with convening of meeting(s) of the Equity Shareholders, Secured Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors of the respective Applicant Companies for purposes of considering the Scheme of Amalgamation etc.

The averments made in the Company Application are briefly described hereunder:-

The Applicant Companies seek an order for dispensing the convening of meeting(s) of the Equity Shareholders, Secured Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors of each of the Applicant Companies for approving the Scheme of Amalgamation, where under the **FLIPKART LOGISTICS PRIVATE LIMITED** (1stApplicant / Transferor Company No.1), **DSYN TECHNOLOGIES PRIVATE LIMITED** (Transferor Company No.2) and **ADIQUITY TECHNOLOGIES PRIVATE LIMITED** (2ndApplicant / Transferor Company No.3) are proposed to be merged with **INSTAKART SERVICES PRIVATE LIMITED** (3rd Applicant/ Transferee Company) for purposes of considering the Scheme of Amalgamation shown as **Annexure A.**

The 1st Applicant / Transferor Company No.1 was incorporated on 13th December 2011 under the name and style as FLIPKART DIGITAL PRIVATE LIMITED. Subsequently, the Company again changed its name on 12th October 2012 and thereafter, further it was changed to **FLIPKART LOGISTICS PRIVATE LIMITED** on 27th April 2015 and obtained Certificate of Incorporation vide bearing CIN No. U74900KA2011PTC061609.

The Registered Office of the 1st Applicant/Transferor Company No.1 is situated at Brigade Manae Court, First Floor, No.111, Industrial Layout, Koramangala, Bengaluru-560095.

The Main Objects of the 1stApplicant/Transferor Company's No.1 as set out in its Memorandum of Association inter alia includes, as follows:

i.) to carry on business of clearing and forwarding agents, courier and cargo handlers, handling and haulage contractors, warehousemen, common carriers buy land,. Rail, water and air, container agents, to

handle goods and passengers within the country and outside and to carry on the business of tour and travel operators and to act as customs agents, harfingers, landing agents, stevedores and longshoremen etc.,

The Copy of Certificate of Incorporation, Memorandum and Articles of Association of the 1st Applicant / Transferor Company No.1 are shown as **Annexure –C1.**

The Authorized Share Capital of 1st Applicant /Transferor Company No.1 as on 31st March 2017 is Rs.50,00,000/- divided into 50,00,000 Equity Shares of Rs.1/- each. The issued, subscribed and paid-up share capital is Rs. 4,13,435/- divided into 4,13,435 Equity Shares of Rs.1/-each. The Copy of Audited Financial Statements as on 31st March, 2017 of the 1st Applicant/Transferor Company No.1 is shown as **Annexure –C2.**

The 2nd Applicant/Transferor Company No.3 was incorporated on 20th January, 2006 under the name and style as TERRAWIZ SOFTWARE TECHNOLOGIES PRIVATE LIMITED. Subsequently on 17th August, 2006 the name of the Company was changed and further it was changed to **ADIQUITY TECHNOLOGIES PRIVATE LIMITED** on 22nd May 2012 and obtained Certificate of Incorporation vide bearing CIN No. U85110KA2006PTC038285.

The Registered Office of the 2nd Applicant/Transferor Company No.3 is situated at Brigade Manae Court, First Floor, No.111, Industrial Layout, Koramangala, Bengaluru-560095.

The Main Objects of the 2nd Applicant/Transferor Company's No.3 as set out in its Memorandum of Association inter alia includes, as follows:

i.) to engage in business of Information Technology in all its spheres including but not limited to Software Development, Software Services, provide Information Technology Enabled Services, e-CRM Services, Customer Acquisition and Retention Services, Customer Retention Services, Customer Contact/Callers, Transcription Services, Business Process Outsourcing Services, Back Office Operation and Management Services, Application Development, Marketing Software, System Solutions, Internet and Intranet Solutions, ID Card Solutions, Information Systems Network Management Support & Services, Electronic Publishing, mobile advertising etc.,

The Copy of Certificate of Incorporation, Memorandum and Articles of Association of the 2nd Applicant / Transferor Company No.3 are shown as **Annexure –D1.**

The authorized share capital of 2nd Applicant / Transferor Company No.3 as on 31st March 2017 is Rs. 95,00,000/- divided into 1,90,00,000 Equity Shares of Rs.0.50/- each. The issued, subscribed and paid-up share capital is Rs. 33,27,335/- divided into 66,54,670 Equity Shares of Rs. 0.50 each.

The Copy of Audited Financial Statements as on 31st March, 2017 of the 2nd Applicant/Transferor Company No.3 are shown as **Annexure –D2.**

The 3rd Applicant/Transferee Company was incorporated on 8th June, 2015 under the name and style as **INSTAKART SERVICES PRIVATE LIMITED** under the provisions of the Companies Act, 2013 and obtained Certificate of Incorporation vide bearing CIN No. U74900KA2015PTC080778.

The Registered office of the 3rd Applicant/Transferee Company is situated at Brigade Manae Court, First Floor, No.111, Industrial Layout, Koramangala, Bengaluru-560095.

The Main Objects of the 3rd Applicant/Transferee Company's as set out in its Memorandum of Association inter alia, includes, as follows:

i.) to carry on the business of storage, warehousing transportation and handling of all kinds of transport services and business of courier and allied services including but not limited to the business of storage, packaging, carriage that of collecting any documents goods, articles, things on behalf of customers and to deliver them at specified places, cities, country and to provide reverse pick up facility and to act as Forwarding Agents, Commission Agents, Distributors and Stockists, Brokers and/ or in any other capacity and to provide e-commerce solutions and services either directly or indirectly from time to time; to carry on the business of clearing and forwarding etc.,

The Copy of Certificate of Incorporation, Memorandum and Articles of Association of the 3rd Applicant / Transferee Company are shown as **Annexure –E1.**

The authorized share capital of 3rd Applicant/Transferee Company as on 31st March 2017 is Rs. 4000,00,00,000/- divided into 400,00,00,000 Equity Shares of Rs. 10/- each. The issued, subscribed and paid-up share capital is Rs. 793,38,70,700/- divided into 79,33,87,070 Equity Shares of Rs. 10/- each. The Copy of Audited Financial Statements as on 31st March, 2017 of the 3rd Applicant/Transferee Company is shown as **Annexure –E2.**

It is further averred in the Company Application that, the scheme will further facilitate smoothness in the management, administration and availability of financial and other resources in day to day operations leading to significant benefits by achieving the following objectives:-

a) Integrating and combining the businesses of the companies will lead to greater and optimal utilization of resources.
b) The amalgamation will reduce administrative costs and avoid duplication of costs, enable the amalgamated companies to effect internal economies and optimize profitability as also to reduce administrative inefficiencies by reducing duplication of functions;
c) The amalgamation will result in creation of a single larger unified entity in place of various entities under the same management and control, thus, resulting in efficient synergies of operations and streamlined business transactions;
d) Greater efficiency in cash management of the combined entity and unfettered access to the cash flow generated by the combined business which can deployed dmore efficiently;
e) The amalgamation would be in the best interest of the shareholders, creditors and employees of Transferor Companies and would result in enhancement of shareholder value and would help the Transferee Company to vigorously pursue its business plan by consolidation of resources.

The Board of Directors of the Applicant Companies at their respective Board Meetings held on 31st July, 2017 have approved the Scheme of Amalgamation by virtue of which **Flipkart Logistics Private Limited (1st Applicant/Transferor Company No.1), DSYN Technologies Private Limited (Transferor Company No.2)** and **Adiquity Technologies Private Limited (2nd Applicant/Transferor Company No.3)** are proposed to be merged with **Instakart Services Private Limited (3rd Applicant/Transferee Company)**. The Certified copies of the Board Resolutions of the Applicant Companies approving the Scheme of Amalgamation are shown as **Aannexure-C3, D3 & E3.**

We have heard the Counsel appearing for the Applicant Companies, who have filed the Joint Application to dispense with convening of meeting(s) of the Equity Shareholders, Secured Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors of the respective Applicant Companies for considering the scheme of Amalgamation.

The Applicant Companies are seeking an order to dispense with convening meeting(s) of Equity Shareholders, Secured Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors of the respective Applicant Companies on the following ground:

That there are 2 (Two) **Equity Shareholders** in the 1st Applicant/Transferor Company No.1 i.e. i.) Quickroutes International Private Limited, Singapore holding 412,435 Equity Shares ii.) Flipkart Limited, Singapore holding 1000 Equity Shares. The List of Equity Shareholders of the 1st Applicant/Transferor Company No.1 as on 30th June, 2017 duly certified by the Chartered Accountant is shown as **Annexure-C5.**

That there are 2 (Two) **Equity Shareholders** in the 2nd Applicant/Transferor Company No.2 i.e. i.) Guruji.com Technologies, Maurtitus holding 6,654,470 Equity Shares ii.) Flipkart Logistics Private Limited, Singapore holding 200 Equity Shares. The List of Equity Shareholders of the 2nd Applicant/Transferor Company No.2 as on 30th June, 2017 duly certified by the Chartered Accountant is shown as **Annexure-D5.**

That there are 2 (Two) **Equity Shareholders** in the 3rd Applicant/Transferee Company i.e. i.) Klick2shop Logistics Services International Private Limited holding 793,387,069 Equity Shares ii.) R Vijayakrishnan holding 1 Equity Share. The List of Equity Shareholders of the 3rd Applicant/Transferee Company as on 30th June, 2017 duly certified by the Chartered Accountant is shown as **Annexure-E5.**

That there are Nil **Secured Creditors** in the 1st Applicant/Transferor Company No.1; 2nd Applicant/Transferor Company No.3; 3rd Applicant/Transferee Company. The Certificate issued by the Chartered accountants, certifying that there are no Secured Creditors in the respective Applicant Companies as on 30th June 2017 are shown as **Annexure-C6, D6 & E6** respectively.

That there is Nil **Unsecured Loan Creditor** and only 20 (Twenty) **Unsecured Trade Creditors** to the tune of Rs.8,57,217/- in the 1stApplicant/Transferor Company No.1 as averred in the Company Application. However, going through the Chartered Accountant Certificate there are only 4 (Four) **Unsecured Trade Creditors.** The List of Unsecured Loan & Trade Creditors duly certified by the Chartered Accountant as on 30th June, 2017 is shown as **Annexure –C7.**

That there is 1 (One) **Unsecured Loan Creditor** to the tune of Rs 9,60,25,601/- and 1,546 (One Thousand Five Hundred Forty Six) **Unsecured Trade Creditors** to the tune of Rs 11,88,41,513/- in the 2nd Applicant/Transferor Company No.3. The List of Unsecured Loan & Trade Creditors as on 30th June 2017 duly certified by the Chartered Accountants is shown as **Annexure-D7.**

That, the 3rd Applicant/Transferee Company has 2 (two) **Unsecured Loan Creditors** to the tune of Rs 1998,43,33,994/- and 1,002 (One Thousand and two) **Unsecured Trade Creditors** to the tune of Rs 875,95,92,402/-.The List of Unsecured Loan & Trade Creditors as on 30th June 2017 duly certified by the Chartered Accountants is shown as **Annexure-E7.**

We have seen the Consent Affidavits of the Two Equity Shareholders each in the respective Applicant Companies as stated in the respective List of the Chartered Accountants. The said equity shareholders of the respective Applicant Companies have given their consent to the scheme and sought for dispensing with the requirement of convening their meeting for considering and approving the scheme under section 230(6) of the Companies Act, 2013. The Consent Affidavits of the Equity Shareholders in the respective Applicant Companies are shown as **Annexure C5, D5 & E5.**

We have seen the Consent Affidavits of the 3 (Three) Unsecured Trade Creditors granting their Consent and dispensing with the requirement of convening their meeting for considering and approving the scheme under section 230(6) of the Companies Act, 2013, having outstanding balance of Rs.855,384/- representing 99% in value of the total Unsecured Trade Creditors as stated in the List of the Chartered Accountant. The Consent Affidavits of the said Unsecured Creditors of the 1st Applicant / Transferor Company No.1 is shown as **Annexure-C8.**

We have seen the Consent Affidavits of the 1 (One) Unsecured Loan Creditor & 3 (Three) Unsecured Trade Creditors granting their Consent and dispensing with the requirement of convening their meeting for considering and approving the scheme under section 230(6) of the Companies Act, 2013, having outstanding balance of Rs 10,91,77,280/- representing 91.87% in value of the total Unsecured Trade Creditors as stated in the List of the Chartered Accountant. The Consent Affidavits of the said Unsecured Creditors of the 2nd Applicant /Transferor Company No.3 are shown as **Annexure-D8.**

We have seen the Consent Affidavits of the 2 (Two) Unsecured Loan Creditors & 11 (Eleven) Unsecured Trade Creditors giving their Consent and dispensing with the requirement of convening their meeting for considering and approving the scheme under section 230(6) of the Companies Act, 2013, having outstanding balance of Rs 796,10,02,275/- representing 90.88% in value of the total Trade Unsecured Creditors as stated in the List of the Chartered Accountant. The Consent Affidavits of the said Unsecured Creditors of the 3rd Applicant /Transferee Company are shown as **Annexure-E8.**

Hence the joint application is allowed and holding of meeting(s) of the Equity Shareholders, Secured Creditors, Unsecured Loan Creditors and Unsecured Trade Creditors are dispensed with accordingly. In any eventuality when the Applicant Companies approaches this Tribunal for seeking approval of the scheme it would be open for any persons who are interested in the scheme of Amalgamation to put forth their contentions before the Tribunal.

3/11/17

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

3.11.17

(RATAKONDA MURALI)
MEMBER, JUDICIAL